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How to Trade with the VWAP Indicator

How to Trade with the VWAP Indicator

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18 April 2018 , AI Hill



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Learn How to Day Trade with the VWAP | Tradingsim.com



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Chapter 1: VWAP Overview

50 (<https://tradingsim.com/blog/50-day-moving-average/>) 200 moving average (<https://tradingsim.com/blog/200-day-simple-moving-average/>)

day trading (<https://tradingsim.com/blog/category/day-trading/>)

Entries + Stops + Targets = Profits

Chapter 2: VWAP Setups



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VWAP Pullback Entry

Entry Option 1 – Aggressive Traders



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tape action (<https://tradingsim.com/blog/tape-reading/>)

VWAP Breakout Entry

Entry Option 2 – Risk Averse Traders



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Aggressive Trade Stop





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Pullback Stop



Chapter 3: VWAP Target



Selling at the Daily High



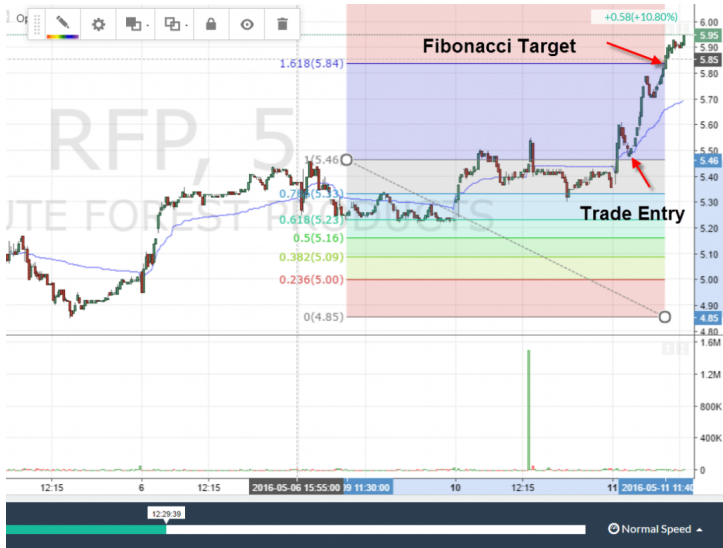
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market opening

(<https://tradingsim.com/blog/opening-bell/>)

Selling at a Fibonacci Extension Level



Fibonacci level (<http://tradingsim.com/blog/fibonacci-trading/>)



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Chapter 4: Psychology of the VWAP Trade



morning gap

(<https://tradingsim.com/blog/day-trading-morning-gaps/>)

When things don't go so well



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(<https://tradingsim.com/blog/trading-plan/>)

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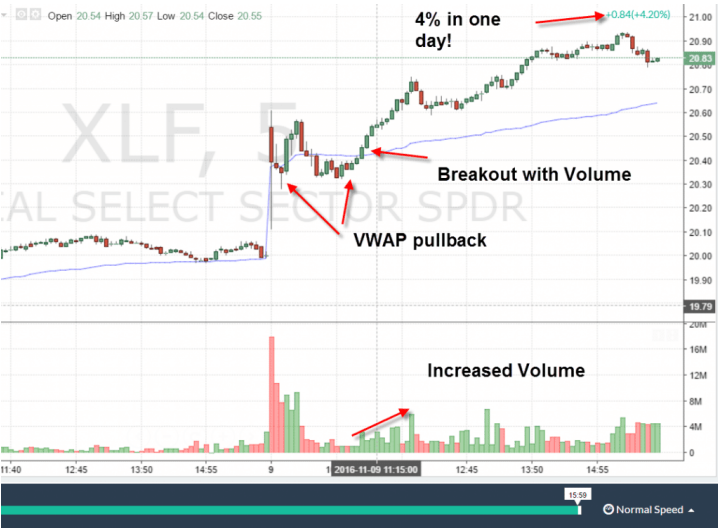
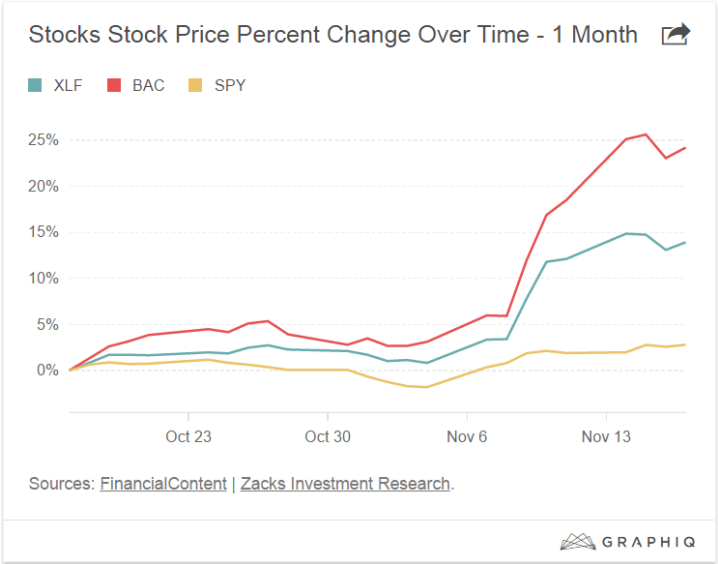
When things go just right

Chapter 5: Real-Life Trading Examples



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Example 1 - VWAP Pullback Trade



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Example 2 - VWAP Breakout Trade



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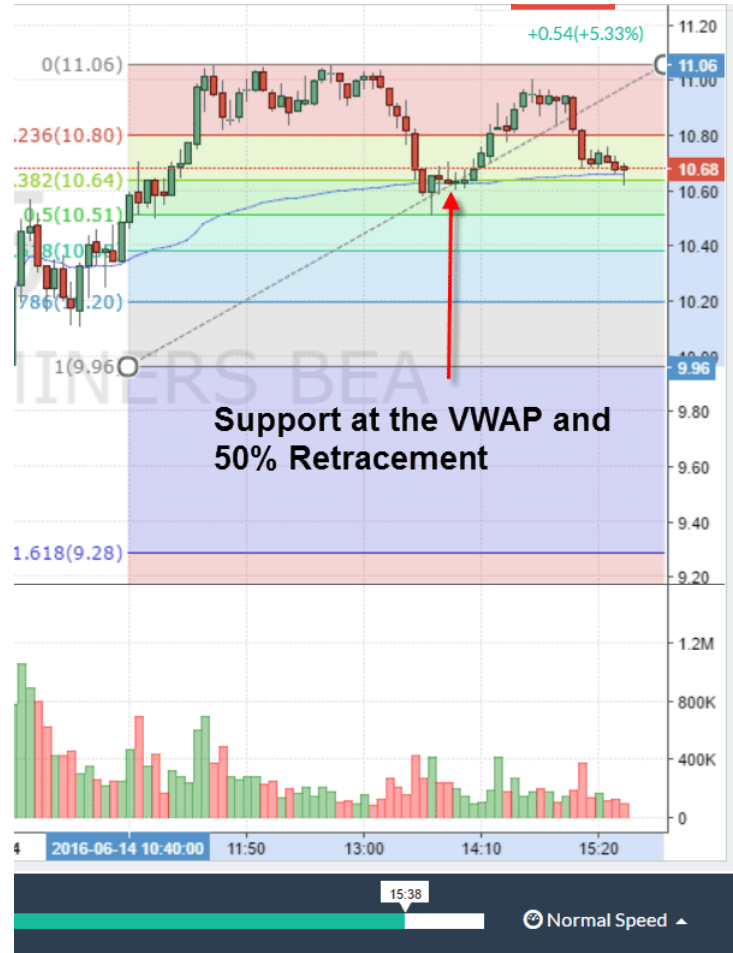


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Chapter 6: VWAP and Confluence



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not

Chapter 7: Finding VWAP Trades



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Symbol (524)	%Chg	Last	VWAP, 5	Volume (Total)
6090-TSE	+25.93%	1457.00	1409.08	1986000
4235-TSE	+20.92%	867.00	867.00	163000
8518-TSE	+18.87%	504.00	480.45	18230000
6239-TSE	+17.33%	677.00	676.11	164100
3689-TSE	+16.89%	9410.00	8943.44	1464000
7312-TSE	+13.86%	616.00	622.60	4475300
9467-TSE	+13.48%	1145.00	1155.88	318900
2372-TSE	+9.84%	1730.00	1725.51	2375400
5911-TSE	+8.66%	1292.00	1290.50	783400
7296-TSE	+7.95%	2133.00	2128.62	743200
6258-TSE	+7.47%	7480.00	7431.74	267200
5821-TSE	+7.20%	1295.00	1285.22	101700
6952-TSE	+7.11%	1506.00	1501.96	9913000
9857-TSE	+6.64%	787.00	770.84	105900
7211-TSE	+5.96%	551.00	550.24	34813300
8202-TSE	+5.84%	798.00	788.50	959200
2743-TSE	+5.80%	802.00	786.09	9080200
6616-TSE	+5.75%	1454.00	1437.63	369500
7014-TSE	+5.72%	721.00	718.27	712200
4240-TSE	+5.57%	512.00	508.88	112200
1879-TSE	+5.46%	966.00	965.20	222300
3918-TSE	+5.41%	2475.00	2449.23	126300
5726-TSE	+5.05%	1748.00	1745.05	781800
4574-TSE	+5.03%	1838.00	1832.20	160300
4047-TSE	+4.88%	902.00	898.18	2135000
3252-TSE	+4.68%	1946.00	1937.23	232900
4331-TSE	+4.64%	721.00	722.03	316900
7867-TSE	+4.58%	1165.00	1162.43	1661200
7222-TSE	+4.51%	1158.00	1155.97	267900
5727-TSE	+4.51%	788.00	788.04	1699000
8462-TSE	+4.46%	2107.00	2107.93	4027500
3753-TSE	+4.34%	1658.00	1597.54	2293900
6794-TSE	+4.34%	2068.00	2063.27	512100
2130-TSE	+4.33%	1059.00	1041.26	413500

Chapter 8: 7 Reasons Day Traders Love the VWAP

Reason # 1: VWAP Calculation Factors in Volume

$\Sigma \text{ Number of Shares Purchased} \times \text{Price of the Shares} \div \text{Total Shares Bought During the Period}$



(https://en.wikipedia.org/wiki/Volume-weighted_average_price)

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Reason 2 #: VWAP Can Enable Day Traders to Buy Low and Sell High



Reason # 3: A VWAP Cross Can Signal a Change in Market Bias



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Reason # 4: VWAP Can Act as Dynamic Support and Resistance



Reason # 5: VWAP Can Help You Confirm Counter Trend Trading Opportunities



RSI (<https://tradingsim.com/blog/rsi-relative-strength-index/>) Stochastics

(<https://tradingism.com/blog/slow-stochastics/>)

Reason # 6: VWAP Can Help You Reduce Market Impact



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<https://tradingsim.com/blog/vwap-indicator/>

Reason # 7: VWAP Can Help Beat High-Frequency Algorithms

Chapter 9: Bonus Content: Low Volatility Stocks and VWAP



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Chapter 10: VWAP and Futures Contracts



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futures contract (<https://tradingsim.com/blog/top-10-liquid-futures-contracts/>)

Chapter 11: VWAP Futures Case Study

trading strategies (<https://tradingsim.com/blog/category/day-trading/day-trading-strategies/>)

Methodology

1. We analyzed the S&P 500 E-mini contract for this case study. We did this because the E-mini has high volume, tight spreads and consistent price movement. This way we would have an increased likelihood of a repeatable pattern in the contract.
2. Used the 5-minute (<https://tradingsim.com/blog/5-minute>) time frame to increase the number of trade signals
3. Observed price action from 1/1/2018 - 1/31/2018



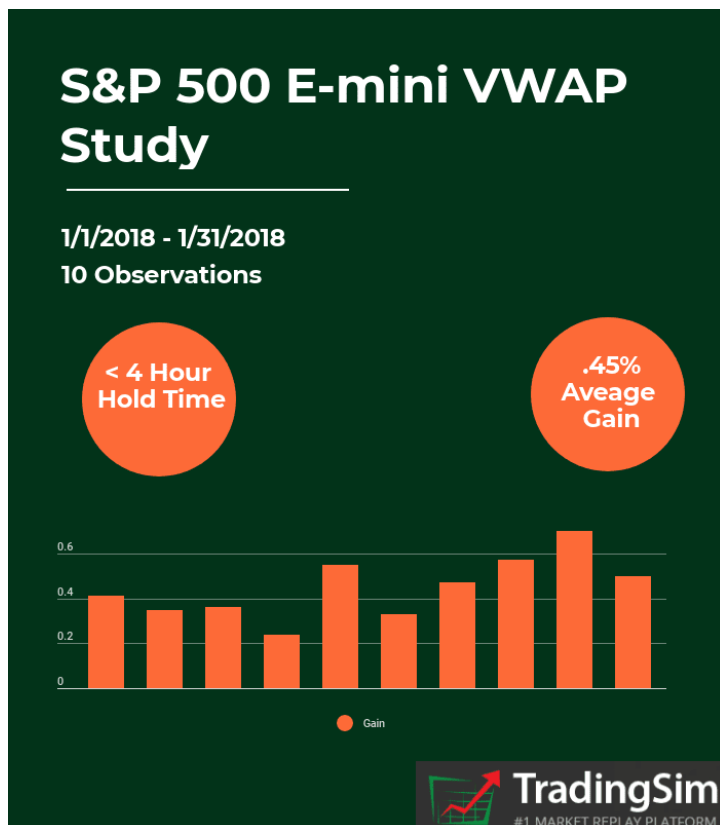
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4. Track price movement once spread between VWAP and S&P 500 E-mini reached .4% or greater
5. Noted where counter price move ended to calculate potential gains

Date	E-mini Value	VWAP	Spread (VWAP to Price)	Percentage Spread Between Price and VWAP	Peak/Low	%Gain
1/5/2018	2747.75	2735.22	12.53	0.46%	2736.5	0.41%
1/10/2018	2737.25	2752.95	15.7	0.57%	2746.75	0.35%
1/12/2018	2776.75	2762.66	14.09	0.51%	2766.75	0.36%
1/14/2018	2797.5	2782.61	14.89	0.53%	2790.75	0.24%
1/16/2018	2769.25	2793.93	24.68	0.89%	2784.5	0.55%
1/17/2018	2809.5	2792.15	17.35	0.62%	2800.25	0.33%
1/23/2018	2842	2825.09	16.91	0.60%	2828.75	0.47%
1/24/2018	2825.5	2841.96	16.46	0.58%	2841.5	0.57%
1/25/2018	2853.75	2841.21	12.54	0.44%	2833.75	0.70%
1/28/2018	2878.5	2861.36	17.14	0.60%	2864	0.50%



1. Date - captures the time when the spread between the Price and VWAP was greater than .4%
2. E-mini value - either the low or high point reached once the spread between price and VWAP hits .4%
3. VWAP - the value of the VWAP when the low or high is registered after the spread between price and VWAP hits .4%
4. Spread - absolute value of the difference between VWAP and Price
5. Percentage Spread - percentage value of the difference between the VWAP and Price
6. Peak/Low - peak high point or low value of swing low
7. %Gain - represents the move from the high or low pivot point



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Conclusion



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AL HILL
([HTTPS://TRADINGSIM.COM/BLOG/AUTHOR/ADMINTRADINGSIM-COM/](https://tradingsim.com/blog/author/admintradingsim-com/))

ADMINISTRATOR

Co-Founder Tradingsim (<https://tradingsim.com>)

Al Hill is one of the co-founders of Tradingsim. He has over 18 years of day trading experience in both the U.S. and Nikkei. On a daily basis Al applies his deep skills in systems integration and automation to help traders want to make real money trading.



and design strategy to develop features to help retail traders become profitable. When AI is not working on Tradingsim, he can be found spending time with family and friends.

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